

PINNACLE INLAND INSURANCE COMPANY
Builders Risk & Inland Marine Division
620 South Tryon Street, Suite 1400, Charlotte, NC 28202 | NAIC No. 34519

**BUILDERS RISK POLICY - COMPLETED VALUE FORM
DECLARATIONS**

POLICY NUMBER: BR-3358-20471
POLICY PERIOD: From 04/15/2025 to 10/15/2026 (18 months), 12:01 A.M. Standard Time at the project site
TYPE: Single Project, Completed Value, Non-Reporting
QUOTE / BINDER REF: PIN-BR-2025-1188

NAMED INSUREDS (as their respective interests may appear):

- Rivergate Development Partners, LLC Project Owner / Developer
- Vanterra Construction Group, LLC General Contractor
- Subcontractors of every tier, but only for their interest in materials, supplies, equipment and temporary works forming part of the insured project, and only while such property is at the project site, in temporary storage, or in transit.

MAILING ADDRESS (First Named Insured):
Rivergate Development Partners, LLC
3400 South Boulevard, Suite 600
Charlotte, NC 28209

GENERAL CONTRACTOR ADDRESS:
Vanterra Construction Group, LLC
8815 Nations Ford Road
Charlotte, NC 28217
NC General Contractor Licence No. 71204 (Unlimited - Building)

PRODUCER: Ashcombe Vail Commercial Insurance Services
Producer Code NC-3312
Broker Reference: AV/BR/2025/3358
201 South College Street, Suite 2100, Charlotte, NC 28244
Producer: Gerald Nwosu-Fitzgerald | (704) 555-0731 | gnwosu@ashcombevail.example

PROJECT DESCRIPTION AND SITE

PROJECT NAME: Rivergate Commons - Phase II
PROJECT ADDRESS: 2650 Rivergate Parkway
Charlotte, NC 28273 (Mecklenburg County)
Parcel ID 199-441-08; bounded by Rivergate Parkway to the north and Steele Creek tributary to the south.

SCOPE OF WORK: New ground-up construction of a five-story, 214-unit multifamily residential building over a two-level precast concrete parking podium, together with a detached 5,800 sq ft amenity clubhouse, resort-style pool, surface parking for 88 vehicles, site utilities, stormwater management structures and hardscape.

CONSTRUCTION TYPE: Type III-A over Type I-A podium. Podium: precast concrete plank on cast-in-place columns. Superstructure: light-gauge metal stud and wood-framed floors 2 through 5. Exterior: fibre cement lap siding, brick veneer at podium level, EIFS accent bands. Roof: TPO single-ply membrane, mechanically fastened.
Fire protection: NFPA 13R sprinkler system, standpipes; system to be charged at substantial completion of each floor.

PROJECT VALUES:

Hard costs (construction contract sum)	\$ 62,400,000
Owner-supplied materials and equipment	\$ 3,150,000
Site work included in the contract sum	\$ 6,800,000
Soft costs (declared, see Soft Costs Endorsement)	\$ 8,200,000
TOTAL PROJECT VALUE	\$ 73,750,000

CONTRACT DOCUMENTS: AIA A102-2017 Standard Form of Agreement, Owner and Contractor (Cost of the Work Plus a Fee with a Guaranteed Maximum Price) dated 02/28/2025.

SCHEDULED SUBSTANTIAL COMPLETION: 08/31/2026
GROUNDBREAKING: 04/28/2025

LIMITS OF INSURANCE

LIMIT OF INSURANCE - PER OCCURRENCE, ALL COVERAGES COMBINED \$ 65,550,000
(Completed value of the insured project including owner-supplied materials; NOT including land, excavation, site preparation completed prior to inception, or soft costs, which are separately limited.)

SUBLIMITS (part of, and not in addition to, the Limit of Insurance):

Temporary Structures, Scaffolding, Formwork, Falsework, Cribbing, Hoists, Fencing and Construction Trailers	\$ 1,500,000
Property in Transit (any one conveyance)	\$ 1,000,000
Property in Temporary Off-Site Storage (any one location)	\$ 2,500,000
Property at the Fabricator's or Supplier's Premises	\$ 1,000,000
Theft of Materials, Supplies and Equipment Awaiting Installation	\$ 750,000 per occurrence
Theft of Copper, Wire, Cable and Metal Building Products	\$ 250,000 per occurrence
Debris Removal	25% of loss, plus \$ 500,000
Pollutant Cleanup and Removal	\$ 100,000 annual aggregate
Ordinance or Law - Coverages A, B and C combined	\$ 2,000,000
Expediting Expenses	\$ 1,000,000
Extra Expense	\$ 1,000,000
Valuable Papers, Plans, Drawings, Blueprints and BIM Models	\$ 500,000
Trees, Sod, Landscaping and Site Plantings	\$ 250,000
Fire Department Service Charge and Fire Extinguishing Expense	\$ 100,000
Pollution Cleanup from Fuel or Hydraulic Fluid Release	\$ 100,000
Water Damage from Testing of Plumbing or Fire Protection Systems	\$ 2,000,000
Testing and Commissioning - Damage during Wet or Hot Testing	\$ 1,000,000
Rewriting or Reconstruction of Design Documents	\$ 250,000
Professional Fees / Claim Preparation	\$ 150,000

SOFT COSTS AND DELAY IN COMPLETION (End. PIN-SOFT 410):

Named Insureds for Soft Costs coverage: Rivergate Development Partners, LLC ONLY	
Aggregate Soft Costs Limit	\$ 8,200,000
Indemnity Period	12 months from the date the project would otherwise have been completed
Time Deductible	30 consecutive days
Covered soft cost categories: additional loan interest and carrying costs; extended general conditions; architectural, engineering and consulting fees necessitated by the loss; real estate taxes and insurance premiums during the extended period; advertising, marketing and re-leasing expenses; permit and inspection re-fees; and additional legal and accounting fees directly attributable to the delay. Loss of rental income is EXCLUDED under this endorsement.	

DEDUCTIBLES

All Other Perils	\$ 50,000 per occurrence
Water Damage (including rain, wind-driven rain and water intrusion into the structure prior to the building being dried-in)	\$ 100,000 per occurrence
Named Windstorm	2% of the completed value, minimum \$ 250,000
Wind and Hail (non-named storm)	\$ 100,000 per occurrence
Theft, Vandalism and Malicious Mischief	\$ 25,000 per occurrence
Earth Movement (where covered by endorsement)	\$ 250,000 per occurrence
Flood (where covered by endorsement)	\$ 250,000 per occurrence
Testing and Commissioning	\$ 100,000 per occurrence
Soft Costs / Delay in Completion	30 day time deductible

COVERED CAUSES OF LOSS

Risks of direct physical loss of or damage to Covered Property at the project site, in transit or in temporary storage, except as excluded. Perils contemplated include: fire and lightning; explosion; windstorm and hail; tornado; riot and civil commotion; vandalism and malicious mischief; theft and burglary; aircraft and vehicle impact; falling objects and dropped loads; collapse of any part of the structure during erection including collapse caused by the weight of construction materials or by shoring or formwork failure; accidental discharge of water from temporary or permanent plumbing, fire protection or process systems; rain and water intrusion into an incomplete structure; smoke; settling and subsidence caused by an insured peril; damage during hoisting, rigging, lifting and setting; and damage during testing and commissioning as endorsed.

EXCLUSIONS

This policy does not cover:

1. Loss or damage caused by faulty, inadequate or defective design, plan, specification, survey, workmanship, construction material or method of construction. This exclusion applies to the cost of making good the defective work, material or design itself. However, if defective work, materials or design results in physical damage from a Covered Cause of Loss to otherwise sound property, that resulting damage is insured. (LEG 2/96 Defects Wording - End. PIN-DEF 305)
2. The cost of correcting, redoing, replacing or repairing work that does not conform to the contract documents or that fails to pass inspection, absent physical damage from a Covered Cause of Loss.
3. Loss resulting from delay, loss of market, loss of use, loss of rent, liquidated damages or penalties for non-completion, except as provided under the Soft Costs and Delay in Completion endorsement.
4. Wear and tear, gradual deterioration, rust, corrosion, dampness or dryness of atmosphere, extremes of temperature, marring, scratching or denting, unless resulting from a Covered Cause of Loss.
5. Mysterious disappearance, unexplained shortage, or shortage disclosed on taking inventory.
6. Theft from an unattended vehicle unless the vehicle was locked and there are visible signs of forced entry, or the property was in a locked and secured enclosed body.
7. Dishonest or criminal acts by any insured, any employee, or any subcontractor or its employees, whether acting alone or in collusion.
8. Loss to any part of the project after it has been occupied or put to its intended use, or after the issuance of a certificate of occupancy or temporary certificate of occupancy for that portion, except where partial occupancy has been declared to and accepted by us in writing (see Partial Occupancy condition below).
9. Loss to existing structures, existing improvements or the land itself.
10. Mould, fungus, wet rot, dry rot, bacteria, or any resulting remediation cost, except to the extent of \$ 100,000 annual aggregate where directly resulting from an insured water damage event that was reported within 72 hours of the water event.
11. Contractors' tools, machinery, mobile equipment, vehicles, and equipment owned, leased, rented or borrowed by any contractor or subcontractor, and not intended to become a permanent part of the project. (Such property should be insured under a contractors equipment floater.)
12. Loss caused by the failure to take all reasonable and necessary precautions to protect the property from an approaching or forecast storm, flood or freeze event, including failure to secure loose materials, dry-in exposed openings or drain water lines.
13. Earth movement and flood, unless specifically endorsed to this policy.
14. Penalties, fines, and the cost of any permit, approval or inspection not directly caused by a covered loss.
15. War, terrorism (unless elected), nuclear hazard, communicable disease, and cyber incident.
16. Loss occurring after the policy expiry date, after final acceptance of the project by the owner, or after this policy has been cancelled, whichever occurs first, notwithstanding any extension of the construction schedule not declared to and accepted by us.

FORMS AND ENDORSEMENTS ATTACHED

PIN-BR 100 (05-24) Builders Risk Coverage Form - Completed Value, Non-Reporting
 PIN-DEF 305 (05-24) Defects Exclusion - LEG 2/96 Consequences Wording
 PIN-SOFT 410 (05-24) Soft Costs and Delay in Completion Coverage
 PIN-TRAN 320 (05-24) Transit and Off-Site Storage Extension
 PIN-TEST 330 (05-24) Testing and Commissioning Extension
 PIN-TEMP 340 (05-24) Temporary Structures, Scaffolding and Formwork
 PIN-ORD 275 (05-24) Ordinance or Law Coverage
 PIN-OCC 360 (05-24) Partial Occupancy Permit - by prior written endorsement only
 PIN-WIND 370 (05-24) Named Windstorm Percentage Deductible
 PIN-PROT 610 (05-24) Site Protection Warranty - Fencing, Hot Work and Water Damage Prevention
 PIN-CYB 501 (01-25) Cyber Incident Exclusion
 PIN-LP 505 (05-24) Loss Payable and Mortgagee Provisions
 PIN-NC STAT (03-25) North Carolina Amendatory Endorsement
 PIN-TRIA 900 (01-21) Terrorism Risk Insurance Act - Coverage ACCEPTED, premium \$ 2,880

NOT ATTACHED / COVERAGE NOT PROVIDED: Flood, Earth Movement, Contractors Equipment, Existing Structures.

SITE PROTECTION WARRANTY (PIN-PROT 610)

As a condition precedent to coverage, the Insureds warrant that throughout the policy period:

- (a) The project site is enclosed by a minimum six-foot chain link perimeter fence with lockable gates, secured outside working hours;
- (b) Site lighting and a monitored construction camera system, or a nightly security patrol logged in

- writing, are maintained from the commencement of vertical construction;
- (c) A hot work permit programme meeting NFPA 51B is enforced for all cutting, welding, torching, roofing and soldering, including a fire watch during the work and for sixty (60) minutes afterward;
 - (d) Portable fire extinguishers are provided on every floor and standpipes are extended as the structure rises, in accordance with NFPA 241;
 - (e) A written Water Damage Prevention Plan is in force, requiring that pressurised water lines be capped or isolated outside working hours, that a designated water shut-off attendant be identified, and that all wet testing be conducted only during working hours with personnel present;
 - (f) Prior to any forecast named storm or freeze event, loose materials are secured, openings are covered or dried-in and water lines are drained where practicable.

LOSS PAYEES, MORTGAGEE AND ADDITIONAL INTERESTS

Mortgagee / Construction Lender (loss payable first):

Carolina Piedmont Construction Finance, LLC, ISAOA/ATIMA
Construction Loan Agreement dated 03/14/2025, Loan No. CLN-2025-0331
128 South Tryon Street, Suite 2400, Charlotte, NC 28202

Additional Interest - Owner-Supplied Equipment:

Rivergate Development Partners, LLC (elevators, rooftop mechanical units, amenity FF&E)

Additional Interest - Municipal:

City of Charlotte, Engineering and Property Management (stormwater structures within the public easement)

CONDITIONS AND CLAIM REPORTING REQUIREMENTS

1. NOTICE OF LOSS. Each Insured must give us notice of any loss, damage or occurrence as soon as practicable and in no case later than seventy-two (72) hours after discovery. Notice must be given by the First Named Insured or by the General Contractor and must state the project name, the policy number, the date and time of the occurrence, the parties involved and a preliminary description of the damage.
Pinnacle Inland Claims - Construction Unit
constructionclaims@pinnacleinland.example | (855) 555-0619 (24 hour)
Online FNOL: fnol.pinnacleinland.example
2. POLICE NOTIFICATION. Any theft, vandalism or malicious mischief loss must be reported to the local law enforcement agency within twenty-four (24) hours of discovery and the report number provided to us.
3. PROTECTION AND MITIGATION. The Insureds must take all reasonable steps to protect the property from further damage, including immediate dry-in, water extraction, dehumidification and temporary shoring. Emergency mitigation expense up to \$ 50,000 may be incurred without our prior approval.
4. PRESERVATION OF EVIDENCE. Damaged materials, failed components, formwork, rigging and lifting gear must be preserved and made available for inspection. Photographic and video documentation must be taken before removal or repair.
5. PROOF OF LOSS. A signed and sworn Proof of Loss must be submitted within ninety (90) days of our request.
6. PARTIAL OCCUPANCY. No portion of the project may be occupied or put to its intended use without our prior written consent. Occupancy without consent suspends coverage for the occupied portion.
7. SCHEDULE EXTENSIONS. Any extension of the construction schedule beyond the policy expiry date must be requested in writing not less than thirty (30) days before expiry. Extensions are subject to additional premium and are not automatic.
8. OTHER INSURANCE. This policy is primary with respect to the insured project. Any contractors equipment floater, general liability policy or professional liability policy is not contributory with this policy.
9. SUIT LIMITATION. Any action must be brought within two (2) years of the date of loss.
10. PREMIUM. Policy premium \$ 214,600 for the 18 month term, fully earned at inception as to 30%.
Rate: \$ 0.327 per \$ 100 of completed value.

Countersigned at Charlotte, North Carolina, April 8, 2025.

Authorized Representative

Construction Practice Leader